Wondering How Dad's Care Would Be Paid For Someday? Three Things to Put on Paper First

Three moves, in order, and what to leave for a professional.

Dad still mows his own lawn and balances his own checkbook. You've started to wonder how care would be paid for if he ever needed it, and you know only pieces: a pension, some savings, a policy or two, the house.

Start here. Three things to put on paper, in this order, at whatever pace suits Dad. None of them is a decision.

1 List what Dad has, by name, and date the page

Sit down with Dad and write what exists under six headings: income, savings and investments, retirement accounts, insurance policies, benefits, property. Names are enough: “pension from the plant,” “savings at the credit union.” You don't need balances. Where nobody knows, write “not noted” so the blank shows. The federal Administration for Community Living says consumer surveys reveal common misunderstandings about which public programs pay for long-term care, which is a good reason to begin with what Dad has and not with what you've heard. [1]

WHY THIS COMES FIRST Every later conversation starts from this list, and Dad is right there to help fill it in.

2 Mark the policies and benefits nobody has looked at lately

Go back through the list and find the long-term care policy, the life insurance, the annuity, the health coverage, a veteran's benefit. For each one, write what it is, the company, what paperwork you have and when anyone last read it, or “unknown.” Don't try to work out what it would pay. Medicare.gov's advice to someone with long-term care insurance is to check the policy, or call the insurance company, to find out whether the care they need is covered. [2]

WHY THIS COMES FIRST A policy nobody has read is a blank with an obvious place to ask. The company is the one that can say what the policy does.

3 Write what you've heard as questions, and note who each one goes to

“You have to spend it all first.” “Put it in the kids' names.” Write each one down with where it came from, and turn it into a question. Mark anything that would mean giving away, moving or retitling something, or buying a financial product, ASK FIRST. Then note who can answer: your Medicaid planner, an elder law attorney, or a licensed insurance or financial professional. The Consumer Financial Protection Bureau's guide for agents under a power of attorney says Medicaid is complicated, and to get legal advice and be very careful about decisions that may affect eligibility. [3]

WHY THIS COMES FIRST A question on paper waits for the right person to answer it. It doesn't need acting on in the meantime.

What to leave for a professional

- What home care, assisted living, memory care or skilled nursing would cost where Dad lives.
- How long Dad's resources might last. That is a projection, and it takes real numbers and someone trained to work with them.
- Which of the things on your list may be treated differently for Medicaid purposes. That is a question to work through with your Medicaid planner.
- Whether any financial strategy or product belongs in Dad's plan.
- How any of it works where Dad lives. Rules vary by state and change.

One thing to hold still

While you're putting this on paper, everything can stay as it is: the names on the accounts and the house, the policies, who is listed on each form. Making a list changes nothing. An idea someone has for changing something goes on the question list, and the answer comes from a professional who knows Dad's state.

What this guide doesn't do

It doesn't estimate what care would cost, say how Medicaid would treat anything Dad owns, or decide anything. It isn't legal, financial or tax advice. It puts the first three moves in order.

Ready for the next step?

You've listed what Dad has, marked what nobody has checked and turned what you've heard into questions. The planning interview takes it from there: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

The point about misunderstandings over who pays follows the Administration for Community Living. The advice to check a long-term care policy or call the company follows Medicare.gov. The caution about Medicaid follows the Consumer Financial Protection Bureau's guide for agents under a power of attorney. The order is ours.

1. Administration for Community Living (LongTermCare.gov), Who Pays for Long-Term Care?
2. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
3. Consumer Financial Protection Bureau, Managing Someone Else's Money: Help for agents under a power of attorney